CMA Final
Group 3 - Paper 13

Commerce Educators

Corporate And Economic Laws

LAW
QUESTION
BANK



CS Disha Lohana (AIR 5,3,14)

CYBER SECURITY & DATA PRIVACY

Q1. Briefly discuss about cyber crimes against persons (June 2025 3/4 Marks)

Ans. Cybercrimes against persons are:

1. **Cyber-Stalking**: It means to create physical threat that creates fear to use the computer technology such as internet, e- mail, phones, text messages, webcam, websites or videos.

2. **Obscenity**: It includes Indecent exposure/ Pornography (basically child pornography), hosting of web site containing these prohibited materials.

3. **Defamation**: It is an act of imputing any person to lower down the dignity of the person by hacking his mail account and sending some mails with using vulgar language to unknown persons.

4. **Hacking**: Unauthorized control/access over computer system and act of hacking completely destroys the whole data as well as computer programmes

5. **Cracking:** Cracking means that a stranger has broken into your computer systems without your knowledge and consent and has tampered with precious confidential data and information.

6. **Spoofing:** A spoofed e-mail may be said to be one, which misrepresents its origin. It shows its origin to be different from which actually it originates.

Spoofing is a blocking through spam which means the unwanted uninvited messages. Wrongdoer steals mobile phone number of any person and sending SMS via internet and receiver gets the SMS from the mobile phone number of the victim.

7. **Carding:** It means false ATM cards i.e. Debit and Credit cards used by criminals for their monetary benefits through withdrawing money from the bank account in a mala-fide manner.

8. **Fraud:** It means the person who is doing the act of cyber crime i.e. stealing password and data storage has done it with having guilty mind which leads to fraud and cheating.

9. **Threat**: It refers to threatening a person with fear for their lives or lives of their families through the use of a computer network i.e. E-mail, videos or phones.

CS Disha Lohana

Q2. What is data protection under the Information Technology Act ,2000? Throw light on the data protection law as prevalent in India today. (Dec 2024 , 7 Marks)

Ans. Data protection under the Information Technology Act, 2000

- Data Protection refers to the set of privacy laws, policies and procedures that aim to minimise intrusion into one's privacy caused by the collection, storage and dissemination of personal data. Personal data generally refers to the information or data which relate to a person who can be identified from that information or data whether collected by any Government or any private organization or an agency.

- Data Protection laws provide a set of laws that deal with the matters related to privacy, policies, and procedures and it is imperative for the protection of one's privacy and regulating its collection.

Data Protection Law in India

- India currently is not having a separate data protection law and when the Information Technology Act, 2000 (hereinafter referred to as the —IT Act) first came into force on October 17, 2000 and it lacked provisions for protection and the procedure to be followed to ensure the safety and security of sensitive personal information of an individual.

- This was taken care of in Information Technology (Amendment) Act, 2008 whose provisions came into force on October 27, 2009.

- Section 43A was inserted in the IT Act and the Central Government, notified the Information Technology (Reasonable security practices and procedures and sensitive personal data or information) Rules, 2011. The right to privacy in India was declared a fundamental right by the Hon'ble Supreme Court of India on August 24, 2017.

Important Provisions of IT Act related to Data Protection

1. **Section 43A** of the IT Act explicitly provides that whenever a corporate body possesses or deals with any sensitive personal data or information, and is negligent in maintaining a reasonable security to protect such data or information, which thereby causes wrongful loss or wrongful gain to any person, then such body corporate shall be liable to pay damages to the person(s) so affected.

2. **Further, Section 72A** provides for the penalty - which may extend to 25 lakhs for disclosure of information in breach of lawful contract. (Amendment)

CS Disha Lohana

Q3. What do you mean by "Business Intelligence" in the context of Cyber Security? What are its benefits? (June 2024 7 Marks)

Ans. Business intelligence in the context of cyber security

- Business Intelligence (BI) is a technology-driven process for analyzing data and delivering actionable information that helps executives, managers and workers make informed business decisions.
- As part of the BI process, organizations collect data from internal IT systems and external sources, prepare it for analysis, run queries against the data and create data visualizations, BI dashboards and reports to make the analytics results available to business users for operational decision-making and strategic planning.

Benefits of business intelligence

- A successful BI program produces a variety of business benefits in an organization.
- For example, BI enables executives and department managers to monitor business performance on an ongoing basis so they can act quickly when issues or opportunities arise. Analyzing customer data helps make marketing, sales and customer service efforts more effective. Supply chain, manufacturing and distribution bottlenecks can be detected before they cause financial harm. HR managers are better able to monitor employee productivity, labor costs and other workforce data.

Overall, the key benefits that businesses can get from BI applications include the ability to:

a) speed up and improve decision-making;

b) optimize internal business processes;

c) increase operational efficiency and productivity;

d) spot business problems that need to be addressed;

e) identify emerging business and market trends;

f) develop stronger business strategies;

g) drive higher sales and new revenues; and

h) gain a competitive edge over rival companies.

BI initiatives also provide narrower business benefits , making it easier for project managers to track the status of business projects and for organizations to gather competitive intelligence

CS Disha Lohana

on their rivals. In addition, BI, data management and IT teams themselves benefit from business intelligence, using it to analyze various aspects of technology and analytics operations.

Q4. The business intelligence has some process of works. Elucidate that process of works. (Dec 2023 7 Marks)

Ans. A business intelligence architecture includes more than just Bl software. Business intelligence data is typically stored in a data warehouse built for an entire organisation or in smaller data marts that hold subsets of business information for individual departments and business units, often with ties to an enterprise data warehouse.

Bl data can include historical information and real-time data gathered from source systems as it's generated, enabling Bl tools to support both strategic and tactical decision-making processes .

Before it's used in Bl applications, raw data from different source systems generally must be integrated, consolidated and cleansed using data integration and data quality management tools to ensure that Bl teams and business users are analysing accurate and consistent information.

Steps in Bl can be -

a) data preparation, in which data sets are organised and modelled for analysis,

b) analytical querying of the prepared data,

c) distribution of key performance indicators (KPIs) and other findings to business users,

d) use of the information to help influence and drive business decisions .

Initially, Bl tools were primarily used by BI and IT professionals. However, now, business analysts, executives and workers are using business intelligence platforms themselves, due to the development of self-service BI and data discovery tools. Self-service business intelligence environments enable business users to query Bl data, create data visualisations and design dashboards on their own.

Bl programs often incorporate forms of advanced analytics, such as data mining, predictive analytics, text mining, statistical analysis and big data analytics. A common example is predictive modelling that enables what-if analysis of different business scenarios.

Q5. List 5 Cyber Crimes under IPC and special laws. (June 2023 3 Marks)

CS Disha Lohana

Ans. Cyber crimes under IPC and special laws.

a) Sending threatening messages by email-Sec 503 IPC
b) Sending defamatory messages by email- 499 IPC
c) Forgery of electronic records – 463 IPC
d) Bogus websites, cyber frauds – Sec 420 IPC
e) Email abuse – Sec 500 IPC

EXTRA PRACTICE QUESTIONS

Q6. What are the objectives of IT Act, 2000?

Answer: The objectives of IT Act, 2000 are -

- Legal recognition to electronic transactions by recognizing digital signatures either by general public or Govt. Official or agency, including publication of rules, regulations or any other matter including gazette notification.
- Facilitate electronic filing of documents and retention thereof in govt. Records (public cannot insist for use of electronic mode only)
- Consequential amendments to other Acts
- To set up licensing, monitoring and certifying authority

Q7. Are organizations permitted to collect personal sensitive data of Public for their use? What if they don't maintain adequate security for the same?

Answer: According to Information Technology (Reasonable Security Practices and Procedures and Sensitive Personal Data or Information) Rules, 2011, Organizations may collect personal sensitive data only on compliance of following guidelines:

a) Information shall not be collected unless it is for lawful purpose, and is considered necessary for the purpose. The information collected shall be used only for the purpose for which it is collected and shall not be retained for a period longer than which is required;

CS Disha Lohana

b) Ensure that the person(s) providing information are aware about the fact that the information is being collected, its purposes & recipients, name and addresses of the agencies retaining and collecting the information;

c) Offer the person(s) providing information an opportunity to review the information provided and make corrections, if required;

d) Maintain the security of the information provided; and

e) Designate a Grievance Officer, whose name and contact details should be on the website who shall be responsible to address grievances of information providers expeditiously.

According to Section 43A, Whenever a corporate body possesses or deals with any sensitive personal data or information, and is negligent in maintaining a reasonable security to protect such data or information, which thereby causes wrongful loss or wrongful gain to any person, then such body corporate shall be liable to pay damages to the person(s) so affected.

Q8. Mention the offences under IT Act.

Ans. The offences under this Act is applicable to any offence/contravention in any country/national if it involves a computer, system or network located in India.

Offences can be:

a) tampering with computer source documents.
b) hacking: destruction, deletion, alteration of any data in any computer with an intention of damage/injury
c) misrepresentation to controller or certifying authorities
d) breach of confidentiality and privacy
e) publishing false digital signature certificates

Q9. Information Technology (Reasonable Security Practices and Procedures and Sensitive Personal Data or Information) Rules, 2011 provides the guidelines that need to be followed by a Body Corporate while collecting information and imposes certain duties on the Body Corporate. Elucidiate.

CS Disha Lohana

Ans. Rule 4 imposes a duty on Body Corporates seeking sensitive personal data to draft a privacy policy and make it easily accessible for people who are providing the information. This should be clearly published on the website of the body corporate and should contain details on the type of information that is being collected, the purpose for which it has been collected and the reasonable security practices that have been undertaken to maintain the confidentiality of such information.

Rule 5 provides the guidelines that need to be followed by a Body Corporate while collecting information and imposes the following duties on the Body Corporate:

Obtain consent from the person(s) providing information.

a. Information shall not be collected unless it is for lawful purpose, and is considered necessary for the purpose. The information collected shall be used only for the purpose for which it is collected and shall not be retained for a period longer than which is required;

b. Ensure that the person(s) providing information are aware about the fact that the information is being collected, its purposes & recipients, name and addresses of the agencies retaining and collecting the information;

c. Offer the person(s) providing information an opportunity to review the information provided and make corrections, if required;

d. Maintain the security of the information provided; and

e. Designate a Grievance Officer, whose name and contact details should be on the website who shall be responsible to address grievances of information providers expeditiously.

Prior permission of the information provider to be taken before disclosing such information to a third party.

Q10. What is treated as "sensitive personal data" ?

Ans. Rule 3 of the 2011 Rules provides a list of items that are to be treated as "sensitive personal data", and includes information relating to passwords, credit/debit cards information, biometric information (such as DNA, fingerprints, voice patterns, etc. that are used for authentication purposes), physical, physiological and mental health condition, etc.

CS Disha Lohana

It is further clarified that any information is freely available or accessible in the public domain is not considered to be sensitive personal data.

Q11. Discuss the concept of data protection.

Data Protection refers to the set of privacy laws, policies and procedures that aim to minimise intrusion into one's privacy caused by the collection, storage and dissemination of personal data. Personal data generally refers to the information or data which relate to a person who can be identified from that information or data whether collected by any Government or any private organization or an agency.

Data Protection laws provide a set of laws that deal with the matters related to privacy, policies, and procedures and it is imperative for the protection of one's privacy and regulating its collection.

Q12. Explain different types of business intelligence tools and applications.

Ans. The list of BI technologies that are available to organizations includes the following:

1. **Ad hoc analysis.** It's the process of writing and running queries to analyze specific business issues on casual or temporary basis.

2. **Online analytical processing (OLAP) -** OLAP tools enable users to analyze data along multiple dimensions, which is particularly suited to complex queries and calculations. bases.

3. **Mobile BI** - Here, BI applications and dashboards available on smartphones and tablets. This may only display two or three data visualizations and KPIs so they can easily be viewed on a device's screen.

4. **Real-time BI** - In real-time BI applications, data is analyzed as it's created, collected and processed to give users an up-to-date view of business operations, customer behavior, financial markets and other areas of interest. The real-time analytics process often involves streaming data and supports decision analytics uses, such as credit scoring, stock trading and targeted promotional offers.

5. **Operational intelligence (OI) -** Also called operational BI, this is a form of real-time analytics that delivers information to managers and frontline workers in business operations.

CS Disha Lohana

6. Open source BI (OSBI) - Business intelligence software that is open source typically includes two versions: a community edition that can be used free of charge and a subscription-based commercial release with technical support by the vendor.

7. Embedded BI - Embedded business intelligence tools put BI and data visualization functionality directly into business applications. That enables business users to analyze data within the applications they use to do their job. Embedded analytics features are most commonly incorporated by application software vendors, but corporate software developers can also include them in home grown applications.

8. Collaborative BI - This is more of a process than a specific technology. It involves the combination of BI applications and collaboration tools to enable different users to work together on data analysis and share information with one another. For example, users can annotate BI data and analytics results with comments, questions and highlighting via the use of online chat and discussion tools.

9. Location intelligence (LI) - This is a specialized form of BI that enables users to analyze location and geospatial data, with map-based data visualization functionality incorporated. Location intelligence offers insights on geographic elements in business data and operations. Potential uses include site selection for retail stores and corporate facilities, location-based marketing and logistics management.

Q13. What is Cyber Crime? Also discuss different Types of Cyber crimes.

Ans. Cyber crimes can be basically divided into three major categories:

A. Cyber crimes against persons
B. Cyber crimes against property
C. Cyber crimes against Government

A. Cyber crimes against persons are:

1. Cyber-Stalking: It means to create physical threat that creates fear to use the computer technology such as internet, e- mail, phones, text messages, webcam, websites or videos.

2. Obscenity: It includes Indecent exposure/ Pornography (basically child pornography), hosting of web site containing these prohibited materials.

CS Disha Lohana

3. Defamation: It is an act of imputing any person to lower down the dignity of the person by hacking his mail account and sending some mails with using vulgar language to unknown persons.

4. Hacking: Unauthorized control/access over computer system and act of hacking completely destroys the whole data as well as computer programmes

5. Cracking: Cracking means that a stranger has broken into your computer systems without your knowledge and consent and has tampered with precious confidential data and information.

6. Spoofing: A spoofed e-mail may be said to be one, which misrepresents its origin. It shows its origin to be different from which actually it originates.

Spoofing is a blocking through spam which means the unwanted uninvited messages. Wrongdoer steals mobile phone number of any person and sending SMS via internet and receiver gets the SMS from the mobile phone number of the victim.

7. Carding: It means false ATM cards i.e. Debit and Credit cards used by criminals for their monetary benefits through withdrawing money from the bank account in a mala-fide manner.

8. Fraud: It means the person who is doing the act of cyber crime i.e. stealing password and data storage has done it with having guilty mind which leads to fraud and cheating.

9. Threat: It refers to threatening a person with fear for their lives or lives of their families through the use of a computer network i.e. E-mail, videos or phones.

B. Cyber crimes against property

Any unlawful act by which the owner is deprived completely or partially of his rights is an offence. The common form of IPR violation may be said to be software piracy, infringement of copyright, trademark, patents, designs and service mark violation etc.

1. Squatting: It means where two persons claim for the same Domain Name either by claiming that they had registered the name first on by right of using it before the other or using something similar to that previously.

2. Vandalism: Vandalism means deliberately destroying or damaging property of another. Thus cyber vandalism means destroying or damaging the data when a network service is stopped or disrupted. It may include within its purview any kind of physical harm done to the computer of any person.

CS Disha Lohana

3. Hacking: Hacktivism attacks those included Famous Twitter, blogging platform by unauthorized access/control over the computer. Due to the hacking activity there will be loss of data as well as computer.

4. Virus: Viruses are programs that attach themselves to a computer or a file and then circulate themselves to other files and to other computers on a network. They usually affect the data on a computer, either by altering or deleting it. Worm attacks plays major role in affecting the computerize system of the individuals.

5. Trespass: It means to access someone's computer without the right authorization of the owner and does not disturb, alter, misuse, or damage data or system by using wireless internet connection.

C. Cyber crimes against Government

There are certain offences done by group of persons intending to threaten the international governments by using internet facilities. It includes:

1. Terrorism: Cyber terrorism is a major burning issue in the domestic as well as global concern. The common form of these terrorist attacks on the Internet is by distributed denial of service attacks, hate websites and hate e-mails, attacks on sensitive computer networks etc. Cyber terrorism activities endanger the sovereignty and integrity of the nation.

2. Warfare: It refers to politically motivated hacking to damage and spying. It is a form of information warfare sometimes seen as analogous to conventional warfare although this analogy is controversial for both its accuracy and its political motivation.

3. Piracy: It means distributing pirated software from one computer to another intending to destroy the data and official records of the government.

4. Unauthorized Information: It is very easy to access any information by the terrorists with the aid of internet and to possess that information for political, religious, social, ideological objectives.

CS Disha Lohana